

1. The average reported earnings of \$5.13 per share were computed after deduction of a “retirement reserve” of very small size in relation to both gross earnings and plant account.

2. These charges for retirements against income proved woefully inadequate to cover the actual retirements taking place during the period. To meet these charges the company had to exhaust a large contingency reserve⁵ (\$13,800,000 at the end of 1928) and to draw heavily on surplus besides.

3. Although the company reported to stockholders that it had earned an aggregate of \$51 per share during the period, paid dividends of \$40 and carried \$11 per share to surplus, its surplus and contingency reserve had really decreased about \$26 per share. Hence the earnings as indicated by the balance sheet had averaged only \$1.36 per share instead of \$5.13 per share as reported in the income account.⁶

4. The actual retirements of property during this period averaged \$2,688,000 per annum, or 11% of gross, as compared with the charge to income of \$729,000, or 3.1% of gross. In the year 1938 the company stated that, in accordance with the new requirements of the Public Service Commission of New York, it was adopting a depreciation policy, that the details had not yet been worked out and that provisionally it was charging \$1,200,000 per annum for the purpose. Judging from the facts stated and our previous discussion, there would seem to be grounds for doubt if even this amount, although much larger than former charges, is adequate.⁷

A Variety of Depreciation Policies. The foregoing discussion of failure to reflect full depreciation charges in the income account leads us into a broader topic, *viz.*, the basis used by a company in making its depreciation

⁵ This contingency reserve had itself developed out of an “accrued amortization” account which ended in 1916. Since that date the successor contingency reserve appeared to be equivalent to surplus.

⁶ If the company is given credit for the increase in the depreciation reserve at the end of 1938 as compared with Dec. 31, 1928, the indicated adjusted earnings would average about \$2 per share. During most of this period the company calculated the earnings per share in its annual reports on the basis of its inadequate retirement allowances and in 1934–1936 also computed even larger earnings per share, including therein income tied up in rate litigation, most of which was later returned to customers.

⁷ Note that the stock sold as high as 248 in 1929, at 129 as late as 1931 and as low as 10 in 1938. In 1939 it advanced to 30 on reported earnings of \$3.07 per share for the 12 months ended June 30. But a depreciation allowance of 11% of gross would have reduced the earnings to \$1.30 per share.